

Positioning the Product and building your competitive advantage

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Learning Objectives



1. Developing and establishing an effective positioning in the market
2. Identifying and analyzing competition
3. Differentiating brands successfully
4. Communicate positioning
5. Alternative approaches to positioning
6. Differences in positioning and branding for a small business

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POSITIONING

- The act of designing a company's offering and image to occupy a distinctive place in the minds of the target market
- Locate brand in mind to maximize advantage to Firm
- Helps guide marketing strategy by clarifying brand essence; everyone in organization guided by it
- Well Positioned Brand Positioning should be distinctive in meaning and execution
- One foot in present and one in future; based in present reality and yet aspirational and has room for future growth
- Results in creation of customer focused Value proposition

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Developing a Brand Positioning

Requires communicating similarities and differences between the brand and competitors

3 Steps

1. Choosing a frame of reference by identifying target market and relevant competition
2. Identifying the optimal points-of parity and points-of-differences brand associations given the frame of reference
3. Creating a brand mantra summarizing the positioning and essence of brand

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Value proposition		
TABLE 10.1 Examples of Value Propositions		
Company and Product	Target Customers	Value Proposition
Hertz (car rental)	Busy professionals	Fast, convenient way to rent the right type of a car at an airport
Volvo (station wagon)	Safety-conscious upscale families	The safest, most durable wagon in which your family can ride
Domino's (pizza)	Convenience-minded pizza lovers	A delicious hot pizza, delivered promptly to your door



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Compétitive Frame of Reference
▪ Defines which other brands a brand competes with and which should thus be the focus of competitive analysis (category membership) ▪ Category is set of products with which a brand competes and that function as close substitutes (coke and Pepsi;) ▪ Closely linked with target market decisions ▪ Understand Target Customers, Consumer behavior and consideration set ▪ Defines nature of competition ▪ Broaden competitive frame to make more advantageous comparisons

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IDENTIFYING AND ANALYZING COMPETITORS

- Companies that satisfy same customer need ; Could be substitute product
- Do a comparison on strategies of competitors; What does it seek? What drives Behavior?
- Factors shaping Objectives, (Size, history, current management, financial situation, part of big company then profits or milking))
- Formulate definitive frame of reference to guide positioning
- Define one two or three competitors (in stable markets)
- In dynamic markets multiple frames of reference may be present

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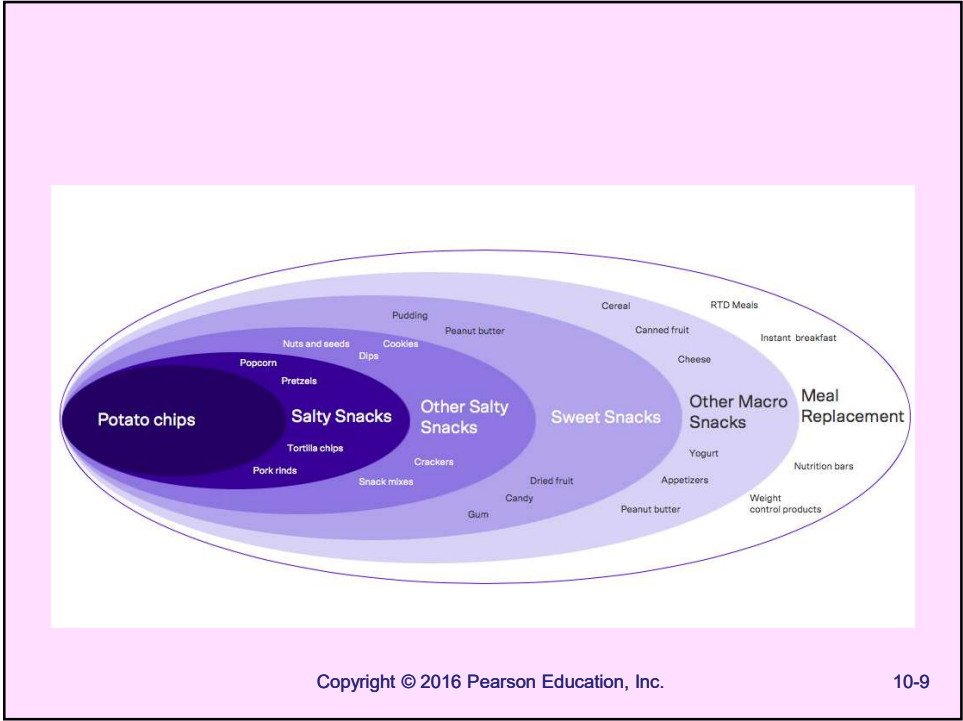
EXAMPLES OF FRAME OF REFERENCE

FRAME OF REFERENCE	COMPETITORS
Cola	Pepsi, Thumps up
Carbonated Beverage	7up, Sprit
Soft Drink	Slice, Maaza
Non-alcoholic Beverage	Chocolate milk, energy drink
Beverage	Wine, Beer
Liquid Refreshment	Water, Bisleri
Psychological Refreshment	A walk, Yoga

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Competitive Frame of Reference					
• E: Excellent, G: Good, F: Fair, P: Poor					
TABLE 10.2	Customers' Ratings of Competitors on Key Success Factors				
	Customer Awareness	Product Quality	Product Availability	Technical Assistance	Selling Staff
Competitor A	E	E	P	P	G
Competitor B	G	G	E	G	E
Competitor C	F	P	G	F	F

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DEFINING ASSOCIATIONS: POD AND POP

Points-of-difference (PODs)

- Attributes or benefits consumers strongly associate with a brand, positively evaluate, and believe they could not find to the same extent with a competitive brand

Points-of-parity (POPs) (category, correlational and competitive)

- Associations that are not necessarily unique to the brand but may be shared with other brands

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Points-of-Difference and Points-of-Parity

- Points-of-difference (PODs)
 - Attributes/benefits that consumers strongly associate with a brand, positively evaluate, and believe they could not find to the same extent with a competitive brand
 - Strong brands have multiple
 - Southwest Airlines: value, reliability and fun
 - Apple: Design, ease of use and irreverent attitude
- Create strong, favorable and unique associations for competitive brand positioning

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POINT-OF-DIFFERENCE CRITERIA

Desirable to consumer

Personally relevant to consumer
Must give a reason to believe that it will be delivered

Deliverable by company

Must have resources, internal commitment and profitably create and maintain brand association
Does product require change or only perceptual shift

Differentiating from competitors

Consumers must see brand association superior to relevant competitors (Puro Salt)

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POD ANCHORS

- Brand Attributes
- Brand Benefits
- Brand Values

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Points-of-Parity Forms

Category

Attributes or benefits essential to a legitimate and credible offering; may change with changes in technology, legal development or consumer trends

Correlational

Potentially negative associations that arise from positive associations for brand (e.g.inexpensive and quality)

Competitive

Associations designed to overcome perceived weakness of the brand in light of competitor's POD. Could role play to communicate competitor's POD is POP for our brand

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EXAMPLES OF NEGATIVELY CORRELATED ATTRIBUTES AND BENEFITS

- Low-price vs. High quality
- Taste vs. Low calories
- Nutritious vs. Good tasting
- Efficacious vs. Mild

- Powerful vs. Safe
- Strong vs. Refined
- Ubiquitous vs. Exclusive
- Varied vs. Simple

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PoP vs. POD

- To achieve a point-of-parity on attribute or benefit, a sufficient number of consumers must believe the brand is “good enough” on that dimension
- Zone or range of tolerance or acceptance with points-of-parity. not literally equal to competitors
- If they do, they may be willing to base their evaluations and decisions on other factors potentially more favorable to the brand.
- Often, the key to positioning is not so much achieving a point-of-difference as achieving points-of-parity!
- In the growth stage of a category, clarity of positioning sometimes may take a while (domestic passenger airlines in India)

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Multiple Frames of Reference and Straddle Positioning

Multiple Frames of Reference:

- Brand could choose more than one existing or potential Frame to preempt competition or expand
- First develop best possible positioning for each class of competitors
- Then see whether there is a way to create combine positioning to address all frames
- Don't be all things to all people

Straddle Positioning

One category POD become POP for another category and viceversa

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The diagram illustrates the concept of Straddle Positioning. On the left, two ovals are stacked vertically: a green one labeled 'Points of Parity (POP)' and a teal one labeled 'Points of Difference (POD)'. A green plus sign is positioned between them. A purple arrow points from this combination to a large purple oval on the right labeled 'Straddle Positioning'.

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SUBWAY'S STRADDLE POSITIONING

Straddle Positioning

Subway positioned itself as offering healthy, good tasting sandwiches
Thus creating POP on taste and POD on health w.r.t McDonald's
And a POP on health and POD on taste w.r.t Health food restaurants.

The Subway logo is displayed in its characteristic yellow and green colors, with a yellow arrow pointing to the right.

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Choosing Points-of-Difference and Points-of-Parity

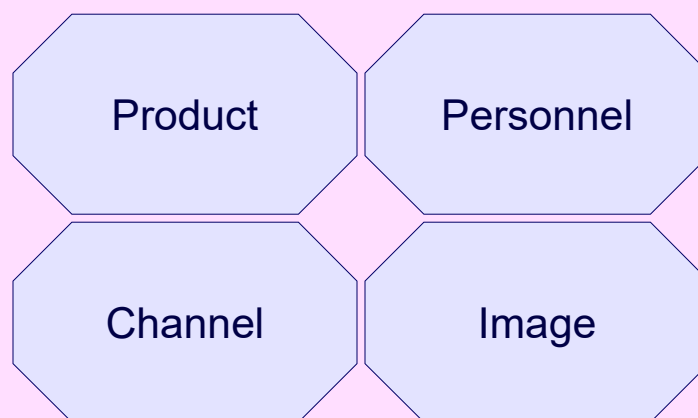
- Competitive advantage must be sustainable otherwise leverageable
- Means of differentiation
- Use of Perceptual map for choosing
- Emotional branding: Brand positioning must have both rational and emotional components

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DIFFERENTIATION STRATEGIES



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PRODUCT
DIFFERENTIATION

- Product form
- Features
- Performance
- Conformance
- Durability
- Reliability
- Reparability

- Style
- Design
- Ordering ease
- Delivery
- Installation
- Customer training
- Customer consulting
- Maintenance

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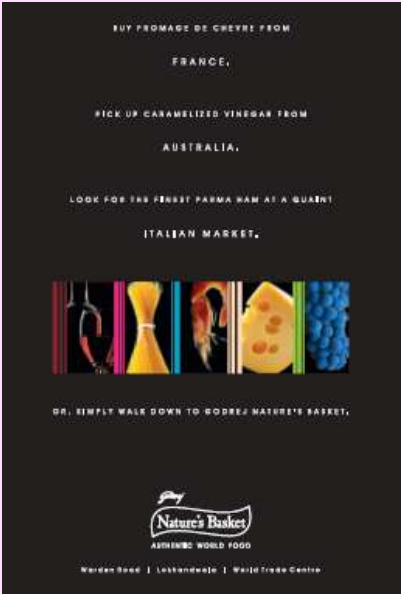
PERSONNEL DIFFERENTIATION:
SINGAPORE AIRLINES



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An advertisement for Nature's Basket featuring a black background with white text. The text reads: "BUY FROMAGE DE CHEVRE FROM FRANCE.", "PICK UP CARAMELIZED VINEGAR FROM AUSTRALIA.", "LOOK FOR THE FINEST PARMA HAM AT A QUALITY ITALIAN MARKET.", followed by a row of five food items: a red chili pepper, a yellow tie, a ham, a piece of cheese, and blueberries. Below the images, it says "OR, SIMPLY WALK DOWN TO GODREJ NATURE'S BASKET," and the Nature's Basket logo with the tagline "AUTHENTIC WORLD FOOD". At the bottom, it lists "Warren Road | Lullandehide | World Trade Centre".

NATURE'S BASKET

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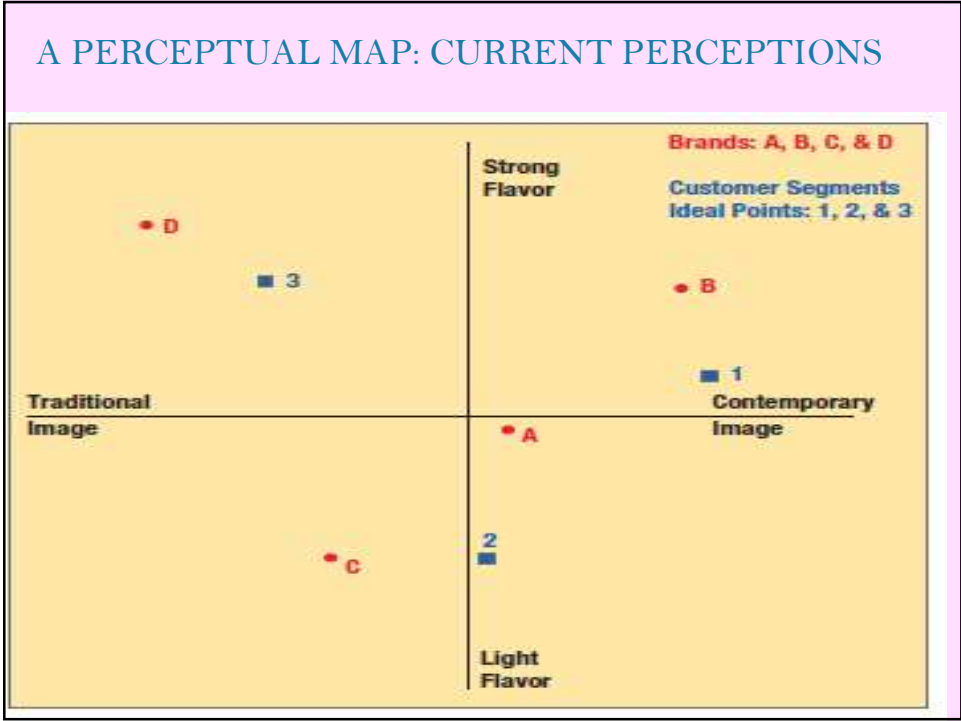
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IMAGE DIFFERENTIATION

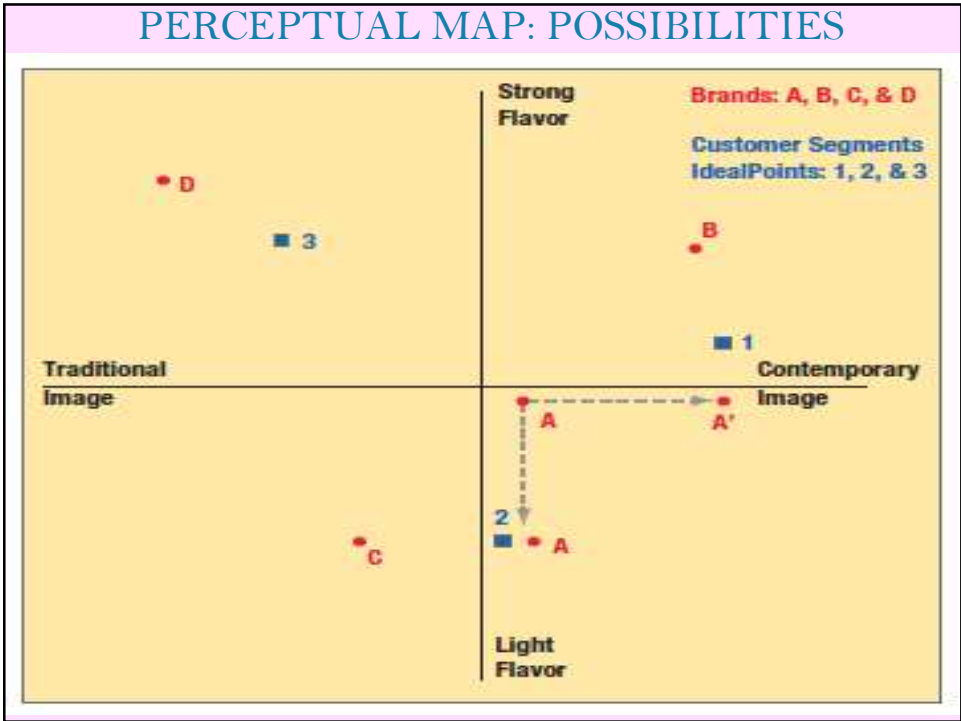
A portrait of a man with dark, wavy hair and a light beard, wearing a dark suit, white shirt, and patterned tie. He is looking slightly to the left. The background is a bright, out-of-focus outdoor scene. The Van Heusen logo is visible in the bottom right corner of the image.

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DESIGNING THE BRAND MANTRA

- Three- to five-word articulation of the heart and soul of the brand; closely related to other branding concepts like “brand essence” and “core brand promise.”

Communicate

Clarify what is unique about the brand
Define the category (or categories) of business and set brand boundaries.

Simplify

An effective brand mantra should be memorable. For that, it should be short, crisp, and vivid in meaning

Inspire

Ideally, the brand mantra should also stake out ground that is personally meaningful and relevant to as many employees as possible.

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Establishing a Brand Positioning

COMMUNICATING CATEGORY MEMBERSHIP

Announcing category benefits

To reassure consumers that a brand will deliver on the fundamental reason for using a category, marketers frequently use benefits to announce category membership.

Comparing to exemplars

exemplars—Well-known, noteworthy brands in a category can also help a brand specify its category Membership.

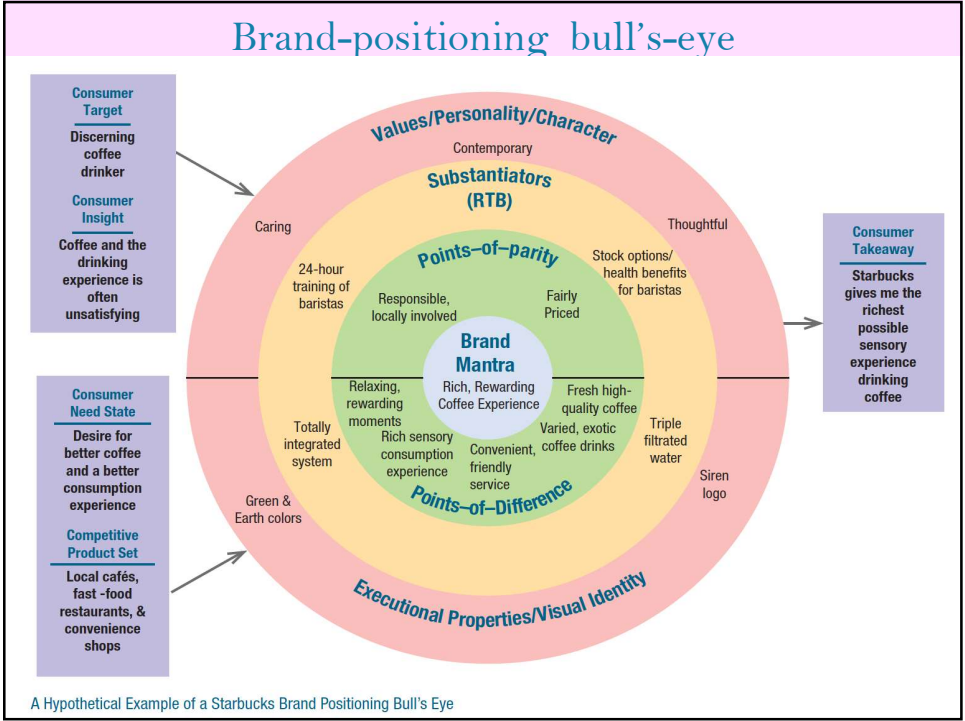
Relying on product descriptor

product descriptor that follows the brand name is often a concise means of conveying category origin

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MONITORING COMPETITION

- Variables in assessing potential competitors
 - Share of market
 - Share of mind
 - Share of heart



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ALTERNATIVE APPROACHES TO POSITIONING

- Brand narratives and storytelling
 - Setting: time place and context
 - Cast: Brand as character, role in life of audience its relationships and responsibilities, and its history or creation myth
 - Narrative arc: The way the narrative logic unfolds over time, including actions, desired experiences, defining events, and the moment of epiphany
 - Language. The authenticating voice, metaphors, symbols, themes, and leitmotifs
- Cultural branding: must assemble cultural knowledge, strategize according to cultural branding principles, and hire and train cultural experts.

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Positioning/Branding for A Small Business

- Find compelling product performance advantage
- Focus on building one or two strong brands based on one or two key associations
- Encourage product trial in any way possible
- Develop cohesive digital strategy to make the brand “bigger and better”
- Create buzz and a loyal brand community
- Employ a well-integrated set of brand elements
- Leverage as many secondary associations as possible
- Creatively conduct low-cost marketing research

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